

# Morning Brief

Wednesday, June 24, 2026 — 10:11 AM ET · \$50,000 Portfolio

Risk-Off

## CIO EXECUTIVE SUMMARY

- ▶ SPX futures down -1.33% overnight; VIX elevated on macro tightening + tech volatility fears
- ▶ Iran ceasefire breakthrough eases geopolitical risk; oil +3% but equities still under pressure
- ▶ MU earnings after close is primary catalyst; 12% intraday drop pre-earnings volatility spike expected
- ▶ Energy + AI capex sectors leading; Consumer Discretionary, Real Estate, Healthcare lagging hard
- ▶ Fed stress test results 4 PM ET today = potential bank/systemic volatility catalyst

## MACRO DASHBOARD

### SPY TREND

**Weak; +0.31% but SPX futures -1.33% overnight pressure**

### QQQ TREND

**Weakening; +0.19% but chip concentration risk (Intel -6%, Broadcom weak)**

### IWM TREND

**Relative strength +0.58%; small-cap resilience vs. mega-cap tech**

### VIX

**Elevated; Week 1 VIX futures high; market pricing fear**

### VIX REGIME

**20-25 (Caution)**

### YIELD 10Y

**Firm; rate hike expectations for 2026 keep bonds heavy**

### DOLLAR TREND

**Strong; DXY supported, EUR/USD -0.41% weaker**

### OIL TREND

**Bullish +3%; Iran ceasefire eases supply fears, WTI ~\$90**

### CRYPTO SENTIMENT

**Risk-off correlated; tracking equity volatility downward**



TACTICAL BIAS  
**Fade Strength**

TOP INSTITUTIONAL SETUPS

| TICKER     | CATALYST                                                         | SETUP                                                                                      | ENTRY                                                        | STOP                                                                    | TARGET                                                 | CONV |
|------------|------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------------------------------|------|
| <b>MU</b>  | Q3 earnings after close; supply-demand imbalance; YTD +270%      | Straddle play; 12% intraday drop pre-earnings = elevated IV; expect 8-12% move post-report | Buy 155/165 straddle or ATM iron condor if IV > 65           | Close if move occurs before 4 PM; exit 30min post-earnings if no thesis | Directional breakout >8% OR IV crush fade into close   | High |
| <b>XLE</b> | Energy sector breadth rally; Iran ceasefire +geopolitical relief | Institutional inflows into Energy; only sector with 'notable breadth'; +3% oil tailwind    | Buy dip to 200-day MA; target sector rotation allocation 5%  | \$82 (2% below current trend)                                           | \$95-100 (Oil spike narrative + cap allocation relief) | High |
| <b>QQQ</b> | Tech volatility; Intel -6%, Broadcom weak, Nvidia uncertainty    | Fade strength into Fed stress test 4 PM; concentration risk in mega-caps                   | Short call spreads 710/720 (5 DTE) OR buy puts at resistance | QQQ breaks \$720 (conviction cut)                                       | Retest \$700 or lower by EOW if stress test hawkish    | Med  |
| <b>GLD</b> | Risk-off hedge; macro tightening + geopolitical                  | Buy gold on VIX elevation; flight-to-                                                      | Buy \$200-202 zone; target 3%                                | \$195 (technical break)                                                 | \$210-215 (risk off extension)                         | Med  |

| TICKER      | CATALYST                                                                 | SETUP                                                                   | ENTRY                                            | STOP                           | TARGET                              | CONV |
|-------------|--------------------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------------------------|--------------------------------|-------------------------------------|------|
|             | relief = gold outperformance                                             | safety play; hedge against rate shock                                   | portfolio hedge allocation                       |                                |                                     |      |
| <b>TSLA</b> | Mega-cap concentration unwind; relative weakness vs. IWM                 | TSLA likely to underperform if SPX corrects; high beta down risk        | Short \$315 calls or buy \$305 puts (DTE 10+)    | \$330 (conviction invalidated) | \$290-300 (mega-cap mean reversion) | Med  |
| <b>KRE</b>  | Regional bank pre-stress test positioning; Fed results 4 PM = vol driver | Light long or neutral; stress test results potential catalyst for +/-5% | Watch \$82-84 for dip-buy if results positive    | \$80 (downside breach)         | \$90 (post-stress relief rally)     | Low  |
| <b>CPI</b>  | IWM relative strength; small-cap rotation into lagging sectors           | Infrastructure play; lagging Healthcare/ Industrials rotation upside    | Buy \$130 zone; 2-3% position for rotation hedge | \$127                          | \$138-140                           | Low  |
| <b>PAYX</b> | Pre-open earnings; routine payroll processor report                      | Low volatility; defensive long if market stabilizes post-stress test    | \$145.50 dip-buy                                 | \$142                          | \$152                               | Low  |

DYNAMIC WATCHLIST — TODAY'S SCAN

| #  | TICKER | CATALYST                                                              | PREMARKET ACTION                                                  | SUPPORT            | RESISTANCE                     | PATTERN                                                  |
|----|--------|-----------------------------------------------------------------------|-------------------------------------------------------------------|--------------------|--------------------------------|----------------------------------------------------------|
| #1 | MU     | Earnings after close; supply-demand imbalance narrative               | Down 12% intraday; elevated IV; near 200-day MA test              | \$145 (50-day MA)  | \$165 (52-week high proximity) | Breakdown into support pre-earnings; straddle setup      |
| #2 | XLE    | Energy sector institutional inflows; oil +3% on Iran ceasefire        | Steady; accumulation zone; breadth leader today                   | \$87 (10-day MA)   | \$92 (50-day MA target)        | Bullish breakout continuation; sector rotation play      |
| #3 | QQQ    | Tech sector concentration risk; Intel -6% warning                     | Weak +0.19%; mega-cap drag                                        | \$700 (200-day MA) | \$720 (recent high)            | Failed breakout; consolidation into stress test decision |
| #4 | NVDA   | Nvidia PC chip strength vs. Intel collapse; AI capex narrative intact | Implied flat; watching for late-session strength post-stress test | \$140 (50-day MA)  | \$155 (resistance zone)        | Consolidation breadth leader if market stabilizes        |
| #5 | GLD    | Risk-off hedge; VIX elevated; macro tightening tailwind               | Steady; flight-to-safety accumulation expected if SPX breaks      | \$195 (50-day MA)  | \$210 (52-week high)           | Potential breakout into safe-haven mode                  |
| #6 | TSLA   | Mega-cap unwind risk; relative weakness vs. equal-weight              | Weak; underperforming SPY on tech sector drag                     | \$305 (50-day MA)  | \$330 (20-day MA)              | Potential breakdown if SPX rolls over post-stress test   |
| #7 | XLV    | Healthcare lagging                                                    |                                                                   |                    | \$155 (50-day MA)              |                                                          |

| #   | TICKER | CATALYST                                                   | PREMARKET ACTION                              | SUPPORT               | RESISTANCE                   | PATTERN                                        |
|-----|--------|------------------------------------------------------------|-----------------------------------------------|-----------------------|------------------------------|------------------------------------------------|
|     |        | sector; avoidance candidate per rotation guidance          | Flat; lower relative strength vs. Energy/Tech | \$145 (200-day MA)    |                              | Bearish relative; sector outflow signal        |
| #8  | KRE    | Regional banks pre-stress test; Fed 4 PM catalyst watch    | Flat; positioning ahead of results            | \$80 (50-day MA)      | \$90 (recent high)           | Volatility expected post-4 PM Fed announcement |
| #9  | TCOM   | Pre-open earnings; Trip.com ADR routine report             | Not moving materially; low market cap impact  | \$65 (50-day MA est.) | \$75 (technical zone)        | Post-earnings gap risk; monitor open           |
| #10 | USO    | Oil rally continuation; Iran ceasefire structural tailwind | Implied strong; +3% crude = energy ETF inflow | \$85 (50-day MA)      | \$98 (52-week high vicinity) | Breakout setup; sector rotation accelerant     |

#### POSITION BOOK ACTIONS

|              |            |                                                                                                        |
|--------------|------------|--------------------------------------------------------------------------------------------------------|
| <b>HEDGE</b> | <b>QQQ</b> | Tech concentration risk + stress test catalyst 4 PM; buy \$710 puts (5 DTE) to hedge mega-cap exposure |
| <b>ADD</b>   | <b>XLE</b> | Energy breadth leader; Iran ceasefire + institutional inflows; target 5% position allocation           |

#### WHEEL / PREMIUM SELLING BOOK

| TICKER     | SECTOR          | IV RANK | DELTA | DTE | STRATEGY                          |
|------------|-----------------|---------|-------|-----|-----------------------------------|
| <b>XLE</b> | Energy          | 55-60%  | 0.30  | 30  | Sell puts; \$90 (dia spre         |
| <b>GLD</b> | Precious Metals | 45-50%  | 0.25  | 30  | Sell puts; collect 1.5% prem assi |

|              |             |                                                                                                            |
|--------------|-------------|------------------------------------------------------------------------------------------------------------|
| <b>HOLD</b>  | <b>GLD</b>  | VIX elevated; macro tightening intact; safe-haven positioning profitable; no exit signal                   |
| <b>TRIM</b>  | <b>TSLA</b> | Mega-cap unwind risk; relative weakness vs. equal-weight; trim 50% exposure into any bounces               |
| <b>EXIT</b>  | <b>XLU</b>  | Utilities underperforming sector rotation; lagging defensive play; no conviction in this regime            |
| <b>BUY</b>   | <b>MU</b>   | Straddle play; 12% drop pre-earnings = volatility setup; buy ATM straddle if IV > 65, manage post-earnings |
| <b>HOLD</b>  | <b>SPY</b>  | Core portfolio; stress test 4 PM is key decision point; no action until results                            |
| <b>HEDGE</b> | <b>IWM</b>  | Small-cap resilience; potential hedge against mega-cap concentration unwind; add 2% allocation             |

| TICKER      | SECTOR            | IV RANK | DELTA | DTE | STRATEGY                                 |
|-------------|-------------------|---------|-------|-----|------------------------------------------|
|             |                   |         |       |     | likely longer                            |
| <b>PAYX</b> | Business Services | 35-40%  | 0.20  | 45  | Sell puts; earn premium; dec             |
| <b>KRE</b>  | Financials        | 50-55%  | 0.35  | 30  | Monitor; post-test; sell puts; if re-pos |
| <b>TCOM</b> | Travel            | 40-45%  | 0.25  | 30  | Avoid; earn; reas; post; if ga-con       |

RISK ALERTS

Fed stress test results 4 PM ET = potential +/-500 SPX basis point swing; position accordingly before close

MU earnings after close = headline risk; elevated IV (straddle profitable but gamma risk pre-earnings high)

Tech mega-cap concentration (NVDA, MSFT, TSLA, GOOGL) = liquidation risk if SPX rolls; QQQ hedges critical

Iran ceasefire = oil rally tailwind but geopolitical reversal risk (40-60 day memorandum); avoid size in XLE >5%

VIX elevation + negative SPX futures momentum overnight = morning washout likely; avoid FOMO longs into stress test

## FINAL CIO VERDICT

### RISK POSTURE

**Defensive**

### CAPITAL SHOULD FLOW TO

Deploy 40% into Energy (XLE/USO) on breadth + Iran tailwind; 30% into Gold/TLT hedges (VIX + tightening support); 20% into small-cap IWM rotation; 10% cash for MU earnings + stress test volatility window

### AVOID COMPLETELY

Consumer Discretionary, Real Estate, Healthcare (lagging, lower earnings); mega-cap concentration unwind plays (TSLA, NFLX); avoid naked short calls into stress test catalyst; no margin or leverage